

Unit 3 – Section 1: Business Objectives & Strategy

One-Page Student Summary Sheet

Key Models & Concepts

Model	Definition	Real-World Example
Mission Statement	A brief declaration of a business's purpose and values.	IKEA's mission: "To create a better everyday life for the many people."
Corporate Objectives	Measurable targets guiding a business's strategy.	Tesco's goal: increase market share by 5%.
Ansoff Matrix	Outlines growth strategies: market penetration, market development, product development, diversification.	Starbucks expanding into new markets.
Porter's Generic Strategies	Identifies competitive advantage through cost leadership, differentiation, or focus.	Aldi (cost), Dyson (differentiation).
Portfolio Analysis (Boston Matrix)	Tool to assess product performance by market share and growth.	Unilever's product mix (Cash Cow = Dove).
SWOT Analysis	Internal and external audit (Strengths, Weaknesses, Opportunities, Threats).	McDonald's adapting to health trends.
PESTLE Analysis	External analysis: Political, Economic, Social, Technological, Legal, Environmental.	UK sugar tax (Legal factor).
Porter's Five Forces	Assesses industry competitiveness: rivalry, new entrants, substitutes, buyers, suppliers.	Smartphone industry: Apple vs Samsung.

Command Words & AO Focus

Mark	Command Words	AO Skills	Tips
4 marks	Define / Explain / Construct	AO1 + AO2	Give definition + short applied example.
8 marks	Assess	AO2 + AO3	Two developed points, balanced with context.
12 marks	Discuss	AO3 + AO4	Compare two sides, use “depends on” + final judgement.
20 marks	Evaluate	AO1–4 (all)	Build a chain of reasoning, wide context, strong conclusion.

High-Frequency Question Themes

- Ansoff Matrix – diversification and growth strategy.
- Porter’s Five Forces – competition and profitability.
- SMART Objectives – role in long-term planning.
- PESTLE – external influence on strategy.
- Porter’s Generic Strategies – competitive advantage.

Quick Revision Checklist

- ✓ Can I define all 8 models?
- ✓ Can I apply each to a real business example?
- ✓ Can I explain how internal and external factors link to strategy?
- ✓ Can I write a balanced 12–20 mark response with clear evaluation?